

Chp:- International Trade
Free trade and (Olevel)
Specialization

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Different countries $\Rightarrow$ Trade with each other on the basis of Exchange rate
e.g. \$1: £2

Different resource allocation

Land :- Australia

Labour :- China

Capital :- Japan

Abundance of resource

Factor endowment

Resource utilization $\Rightarrow$ more choices $\Rightarrow$ higher standard of living

Specialization $\Rightarrow$ other good imported (Trade relation improves)

lower opportunity cost $\Rightarrow$ Comparative advantage

(Average cost $\downarrow$) per unit cost falls, Economies of scale $\Rightarrow$ Higher Exports (stronger economy)

Free trade → No Protectionism involved

- * The idea that countries concentrate on producing those products that their resources are best at making
- * This comes about because of the different factor endowments all over the world
- * Specialization involve a better use of resources internationally
- * This leads to greater efficiency of production; this should lower the cost of production
- * A country will produce a product if it can produce it using fewer resources than other countries.
- * Countries will tend to focus on labour intensive if they have an abundance of labour e.g. China, and capital intensive production if there is a shortage of labour e.g. Singapore

Advantages of free trade :-

- * An increase in world output
- * An increase in consumer choice
- * An increase in standard of living
- * An increase in competition

Disadvantages of free trade :-

- * Inefficient declining industries may collapse, increasing unemployment
- * Infant industries will not be able to get themselves established.
- * Strategic industries e.g. related to defense, may be threatened
- * Current account imbalance

Advantages and disadvantages of specialisation at national level :-

- * It can lead to greater efficiency of production
- * It has the potential to increase output that can be obtained from given resources
- * Existence of comparative advantage - lower opportunity cost.
- * At national level, workers and firms may specialize in areas of production and there is a decline in demand, leads to structural unemployment

Marks:- 22

Q1 Explain the reasons for specialization? 6

Q2 Explain advantages and disadvantages of free trade? 8

Q3 Explain advantages and disadvantages of specialization at national level? 8